

Zoetis

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Erin Wright: Good afternoon, everyone. Welcome to the Morgan Stanley Healthcare Conference. I'm Erin Wright, Healthcare Services Analyst. For more important disclosures, please see the Morgan Stanley Research Disclosure website at [MorganStanley.com/ResearchDisclosures](https://www.morganstanley.com/ResearchDisclosures). If you have any questions, please reach out to your Morgan Stanley sales representative.

With that, we're happy to have Zoetis with us today, so thank you. We have CEO Kristin Peck as well as CFO Wetteny Joseph. Hopefully we'll have an interesting conversation with some Q&A in a fireside chat format. But I want to open it up to Kristen first, to talk a little bit about kind of Zoetis, give a brief into on the company and make some intro remarks here. Thanks.

Kristin Peck: Sure. First of all, thank you guys for coming out today. For those of you who don't know Zoetis that well, I just might start with sort of a little bit of an introduction, first on the animal health industry which has been incredibly resilient through many different economic cycles. And that's because some of the macro secular drivers that drive the industry in both the companion animal side and the livestock side -- for starters, that's global population growth -- more people means more need for protein. As you also think about an emerging middle class in a lot of the markets around the world, those are more people eating more protein, but importantly, also adopting more pets. And those give very strong growth drivers.

You're also seeing actually an increase in protein consumption per capita in major developed markets such as in the US right now, so these are really strong macro drivers overall. The last one I'd highlighted is the human/animal bond, but changing roles that pets play in our lives across geography, both in emerging markets and developed markets. We say they started out in your back yard, they went in your house, they're not on your bed, and they have their own stroller. So you know, it's really, really strong secular demands.

And then when you think about Zoetis itself, it is the world's leading animal health company. And if you look at the animal health market, sort of on a compound annual growth rate, has grown at 5%, Zoetis has grown at 8% since the IPO back in 2013. And what's really driven that growth is a focus on innovation and commercial excellence, which we've done year-in, year-out, with a very diverse and durable portfolio across therapeutic areas. We obviously have some major franchises which I'm sure we'll talk about today that's been driving that growth, where we've been on the market for over 10 years, and those three franchises of parasiticide, dermatology and pain, really have been driving the growth of the next few years.

What we're really excited to talk about today is the pipeline, and innovation in animal health comes in many different forms. There are sort of life cycle innovation on our products, such as adding Apoquel 2, or looking at long-acting

monoclonal antibodies, which we can talk about today. But it's also in disruptive innovation, where we're going to be launching product over the next few years in huge potential new markets in renal and chronic kidney disease, in cardiology, and in oncology. So, excited to share more about all that.

But for those of you who don't know, animal health is Zoetis -- we thought we might give just a little bit of that background.

Erin Wright: Great, thanks. That was very helpful. And I want to talk a little bit about your expectations for 2025 and especially as we head into 2026 as well. But I'll start with kind of operational revenue growth. You recently raised your target for 2025 by 25 bps to 6.5% to 8% growth in 2025. Can you outline some of those key assumptions across companion animal and livestock? And how do we think about the quarterly progression from here, and what continues or not into 2026?

Wetteny Joseph: Sure. And look, as you recall from our earnings call just a month ago, you asked the question actually on what we expect in terms of cadence for the back half of the year coming off of a very strong first half where we grew 9% on an organic operational basis, the second quarter at 8%. And our guidance measured 6.5% to 8% would imply mathematically a slower growth rate in the back half, and therefore, what's driving that and how should we think about the cadence?

Now, we don't give guidance by quarter. However, we thought some commentary was helpful in that context. And certainly the two things that I shared and I'll double-click on now would be in the third quarter we have a very strong, some say tough, I say a strong comp. So it's a positive that we had such growth in the prior year in the third quarter. Let's look here for companion animal globally which grew at 15% last year in the third quarter, the US grew companion animal 18%. And some of our franchises, like our Simparica franchise, particularly Trio, grew about 30% in that quarter. So that makes it a very, very strong comp that we have up against the -- into the third quarter.

As we're here in the quarter and as we've talked about a few times is, if you look at the distributor inventories in the US, for example, those have been in the lower end of the range from what we've historically operated at since the first quarter of 2023. And in the third quarter we've seen those trend a bit down from where they exited Q2, and so we'll continue to monitor those as well.

The other thing that I shared on the call was that when we put scenarios around when we expect competition to come, and particularly for derm, our confidence is very high in terms of the expansion opportunities in these markets that remain certainly in derm where we've led that market for over a decade. We're very confident in our ability to continue to grow in that market. But in the quarter of launch, or around the quarter of launch, we expect some level of fairly strong [inaudible] on that competitors may drive to get the product in the hands of vets. And therefore, we factored those into our guidance range, which we expect largely to be in the fourth quarter when we think about new entrants coming into derm.

Erin Wright: Okay. Okay, that's helpful. And then as we think about 2026 then, what continues in terms of as you think about kind of mid-to-high-single-digit long-term growth, you're always at that 3-pointer, so premiums is sort of the market growth

rate, 6% to 9% is sort of that long-term rate, the 8% that you talked about. I guess what would get you to deviate from that at all I guess into 2026?

Wetteny Joseph:

2026, just like any other year we approach, we have multiple sources of growth that are driving our business, and without dissecting the details, we can look at the franchises we're in right now, we have more remaining market opportunity to capture than what we're treating today in every category. And certainly you see that in derm, where we're treating about 12 million globally, about just under 7 million in the US, and we have 20 million more to go after that are either undertreated or not treated at all. And these are animals that are seeing a vet on a regular basis. So they are medicalized pets who are not using our products.

In the case of parasiticides, triple combinations for example, those are just about 40%, 45% of the prescribed oral medications today, growing at 40% last year, so clearly, significant more room to expand in that space. And OA pain even more so, where you have 27 million in the US alone that have OA that are medicalized, only 9 million being treated, and we only have 1 million today.

So in every category, that's significant to us, and that's before we get into any new products that we will have approvals for going forward. The existing franchises have ample opportunity to continue growth, so we see that.

Prices on elements that we go into each year, evaluating how much price and which market and which products, the value that we bring, the innovation that we continue to bring, position us to continue to take price, even if it's not at the levels we saw last year, the year before, closer to the historical rates of 2% to 3%. This year we're doing about 4%. So we're sort of continuing to evaluate what that will look like as we get into next year.

And certainly not least, but last in my order here, is what's happening in livestock. You've seen consistent growth from livestock since we got over the Draxxin LOE impacts. You've seen five quarters straight of 5% plus growth in a market that grows 2% to 4%. And we continue to see that momentum as we exit this year, so that's another element that we'll take into consideration.

Erin Wright:

And I know Kristin, and you've talked about it too, where you're like, in terms of the base business, and Kristin, you're highlighting the pipeline a lot. But can you talk a little bit about that base business and your expectations there? Because you know, presumably some of the strength is about leveraging your size and your scale, and your ability to bundle across the portfolio, and those customer relationships that are strong and that are durable. Can you talk a little bit about how you're thinking about addressing that, either you know, even more kind of going forward, or what can you do on that front to accelerate the base business as well?

Kristen Peck:

Sure. I mean, I think one thing we've demonstrated year-in, year-out, is just excellence in commercial execution. You know, most of the markets we operate in actually are highly competitive, whether you look at companion animal or livestock. I know we've met with many of you a few years ago at this conference, and everyone was extremely worried about when we were going to get competition from BI in paras, and how that was going to halt all of our growth in paras. And I think what we've demonstrated is in highly competitive markets with

many entrants, when you have excellent products and an excellent sales force, and the data to support your products, we've done really, really well.

So I think as we look at those core franchises, you know, I think no one has a broader portfolio of leading products, whether you're talking about multiple products in derm, whether that's Apoquel, Apoquel 2, Cytopoint, Simparica Trio, Simparica, ProHeart 6, ProHeart 12, Revolution, these are not just products. They're franchises. And they're really important to the vet.

And then you think about adding pain, with Librela, Solensia, adding long-acting to that, we think of all of our franchises in life cycle innovation and selling across that portfolio and being able to provide full solutions for our customers. And I think if you've watched us over the years, working whether it's with individual small clinics or working with large corporates, it's meeting our customers where they are, and making sure we can provide them the value proposition that works for them. And importantly, engaging the pet owner and making sure they're coming in and asking for our products.

So over the last five or six years, our increased investment in direct-to-consumer advertising, to engage that pet owner and make sure they come in asking for our products, as well.

And then lastly, I want to really emphasize, our success, our industry-leading success in alternative channels such as retail and e-commerce, engaging with a pet owner where they are when they have the script and they're going there to get it; making sure that we engage them in auto-ship, which is really increasing compliance across our portfolio, which is helping as well.

As you think about some of our largest franchises such as parasiticides or derm, for both Simparica Trio and Apoquel, 40% of our US sales are currently in alternative channels and that's really helpful if you keep those people on auto-ship. So we think we can continue to compete with both an excellent, broad-based portfolio with commercial excellence, and really engaging the pet owner where they are in alternative channels in retail.

Erin Wright:

In terms of the alternative channels in retail, you know, that helps to have different growth than what we're seeing in terms of the vet office visits, turns your left lever to that metric in terms of who's walking in the front door of that vet. What are you seeing, though, right now in terms of veterinary office visits? At some point you do want them to actually go to the vet, right? But at the same time, you're able to leverage this alternative channel to bridge to growth in the meantime. But what are you seeing in terms of current fundamentals? I know you look at a little bit different data than like, that source data for instance.

Kristen Peck:

Yes let me just take a step back. I mean overall, the human-animal bond is incredibly important, and people will make sure they take care of their dog or their cat. There has certainly been a lot of focus recently on the cost of veterinary health and that certainly was more on the services side where you saw that go up. And that probably did cause a little bit of the decrease in vet visits; also those COVID pets or puppies going three times a year, stop going. And so you've seen some of that. But I think what Wetteny talks a lot about, and I'll let him get into it, the reality of what's going on, vet visits have never been a great

proxy for us. We talk a little bit more about focusing on revenue per visit and things like that. And that's really for a few reasons.

One, a lot of the sales of some of our biggest products are not at the vet. But two, it's really the willingness to spend for those sick pets in some of the future areas we're talking about. Maybe do you want to talk a little bit just about the vet visit trends overall?

Wetteny Joseph: Sure. Yeah, look. If you look at the last three years, since 2021, where you saw a peak in visits, which historically you've only been about a 1 percentage point growth as you've seen double digit growth in pet care, by the way, in the US. It's only been about one point, plus or minus. So it's never been the key driver, and over the last few years, you've seen visits, overall visits, down somewhere around 2%, 3% each year. And we've gone high single to double-digit growth overall for the company. In fact, we're going faster.

So clearly that is not what drives us. We really focus more on the therapeutic visits into the clinic for getting new patient starts, and so on. But as you've seen in alternative channels as Kristen was talking about, with 40% of our two largest products going to being fulfilled outside of the clinic and those growing in the 30% range, that is taking some of what would be otherwise a focus on visits in the clinic to give us more opportunities to grow volume and to drive more compliance through that as well. So we are meeting the customer and pet owners where they are, is a key part of our strategy to help us drive that, which is why you haven't seen the overall visits impact our results.

Erin Wright: Would you ever take a more direct-to-consumer approach in order to like, the conversations from Lilly and others on the human pharma side?

Wetteny Joseph: Go ahead.

Erin Wright: You know, we sort of looked at it. I would say we -- for those of you who have been with us a while, we certainly got disciplined quite well when we did Pumpkin Pet Insurance where we just tried to fulfill the prescription back then. I think the world has evolved overall. Right now, our focus is selling through the vets. I think they're pretty happy buying where they buy today.

For those of you who follow our industry, you know that we have what's called MAP pricing at Zoetis. For anything that sells at retail or, which is Minimum Advertised Price, so that we make sure that there is a reasonable price that the vets can still make a profit, etc. So you know, if we were solving a different problem, maybe perhaps, but our focus really is in leveraging the channels we have today and engaging the pet owner as we need to.

Erin Wright: Okay, great. I want to switch gears to Librela. So obviously this is something that's evolving in terms of this measured launch or ramp for Librela, especially in the US, but also internationally to some extent. I guess give us the latest in terms of Librela, in terms of the feedback that you're getting from customers? How is that improving, how are you navigating some of the conversations with both clinicians and pet owners on that front, and how should we think about I guess the quarterly cadence in here?

Kristen Peck:

Sure. I mean, Librela is an outstanding product, as we've talked about, and we are obviously -- it has not lived up to the expectations we have had in 2025 in the sense of the sales growth cadence for that product. I think a lot of what we've heard on social media has been driving that. And we really, you know, looked at a multi-prong strategy to address it, and really looked at, what can we learn from that as we think about even future launches. And our strategy right now to return Librela to growth is for starters, focusing on educating the veterinarians on the risk-benefit profile of the product.

You know, the reality is 75% of pet owners on the product love the product. It is game-changing. I just put my second dog on the product. I see the difference that it makes. And I think we stand by and remain very confident this product is going to return to growth.

Secondly, we need to be engaging with pet owners where they are so that they understand that positive story. The reality is, the vast majority of pet owners are having a positive experience but a small percentage of them are sort of the noisy side of that, is overwhelming that. And we need to be much more aggressive, obviously, in educating the pet owner about the risk/benefit profile of the product and really engaging where the pet owners are on social media, you know, in a different way than we have historically.

Third, we also need to help both vets and pet owners understand that osteoarthritis is a serious disease, and that treating it early and taking care of that animal can improve the life of that animal. That animal is in pain, and when they're in pain, they're not going to be active, which puts them at a higher risk for a number of other diseases. So making sure they really understand what osteoarthritis is, that it is a disease and it needs to be treated, and we're really going to do all this with the four strategy, which is making sure that we support the products with aggressive, phase-four, peer-reviewed studies.

So you know, in human health for a long time they've been doing phase-four studies. As you know, that really never happened in animal health, but we're changing that. We're making sure we can put a lot more third-party studies out there in journals that are peer-reviewed so that we can have more data to support the vet, to support the specialists, and better understanding how to best use the product, to best understand the risk/benefit profiles. Because you know, we're really confident this is a significant market, and this product, you know, again, the confidence we have in it hasn't really changed our frustration on the fact that it's been challenged with some of the social media, obviously is not missed on us. But we're very optimistic and confident that with our multi-prong strategy, that we'll return this product to growth and it'll be able to help a lot more pets and pet owners live -- help their pets live longer, healthier lives.

Erin Wright:

Okay, great. And when do you think we would have this sort of data readout from phase four studies?

Kristen Peck:

Sure. The whole bunch of them, they'll start in Q4 of this year and then go in through '26. We should see a regular cadence of them starting in Q4 this year.

Erin Wright:

Okay great. And then how do you think about the long-acting fitting into your strategy now from a pain perspective? Will this help to fill in some of the void

from Librela where it would be purely additive, and how do you think that this will be -- they are different, ultimately different products that are going to be launched. So -- but in the same category, and how do you expect to kind of navigate that, as well as addressing some of the, I guess, strategy around your launch process with Librela as a lesson you've learned there?

Kristen Peck:

Sure. So just to reiterate, we are expecting an approval for both dog and cat osteoarthritis long-acting pain products in a major market starting this year. For those, again, we don't have approval yet on either one of those, but they'll be three-month products. And if you think about the one for dog, it is not a long-acting Librela, as we've talked about. It is actually a different molecule with a unique binding site, where the dose will be ten times smaller than what you would have with Librela. They would be both injectable three-month products. So what we really see in long-acting is, we really see the opportunity to expand the market. The reality is for most pet owners it's pretty hard to remember to come in, or be able to come in every single month on exactly the right day to get your dog the injection. So we think it can really increase compliance for pet owners, and we think that's ultimately going to be better for pets.

So we see a significant opportunity for this to expand the market for us. It will provide a unique value proposition to both vets and pet owners. So as we both think on the dog and cat side, we really do think this will be a driver of expanding that market. And our intent is to learn what we -- you know, learn as much as we can from Librela as we do that launch. So we'll really start with specialists here to make sure the specialists deeply understand it, so they can help the GPs understand how to best use this product, how to use this product in conjunction with you know, the one-month Librela, etc. So we're really excited to sort of see what that looks like, but we think it has a significant opportunity to expand the market and to really meet a need that we see today for both pets and pet owners.

Erin Wright:

Given the launch process that you expect in the long-acting, do you anticipate that this will be a material contributor from a financial perspective in 2026, assuming it launches in that timeline?

Kristen Peck:

I don't think we've given --

Wetteny Joseph:

Yeah, we won't give sort of contribution in 2026 type of expectations at this stage. What I would say is the long-acting components have been part of the strategy from the beginning, which is why we're already talking about having these products approved already, only two years after launching in the US. And I think as you think about the long-lasting effects of OA pain, you know, particularly for mild to moderate cases, where they'll be on the product potentially for a long period of time, this compliance component and being able to make it more convenient to come in every three months as opposed to every single month will be very important in terms of addressing the market.

Erin Wright:

Okay. And let's switch gears to parasiticides. So Simparica Trio has been knocking it out of the park in terms of strength across that segment. Where do you stand now in terms of market share? Can you talk a little bit about the competitive landscape, reorder rates, what you're seeing in terms of engagement across corporates and otherwise -- and just an update on Simparica Trio?

Wetteny Joseph: Simparica Trio, they're first-to-market in the US with a triple combination back in 2020. And that first-to-market advantage plus very high level satisfaction is why we've been very confident [inaudible] with competition, which by the way happened in parasiticides. As new comparators come into a standard of care they actually help guide the expansion of that market, which is what we're seeing. We knew that would happen and certainly in the first year, almost two years now, of viewing our competition you've seen Trio continue to drive strong double-digit growth for us.

Now, if you look at triple combinations, they are about 45%, under 50% of the overall prescription parasiticides market today. It was only about 30% a year ago, so it's growing at about a 40% clip. And we see significant more room for that to continue to expand, even as new competitors come into the space, because they're actually helping to drive more education, more awareness, about this therapy that incorporates heartworm, and US has heartworm prevalence throughout the US. So that's what's driving that space, and we expect to continue to lead in that as we expand. And that's just in the US. And you see that also outside the US, giving the opportunities you've seen some of the growth that we've recorded on the Simparica franchise and Simparica Trio specifically. So we continue to look for those. In our market share, we continue to gain share in the space.

If you look at where we are, about 45% of the market right now is triple combinations, but puppies are actually seeing 60% of new puppies are getting on triple combinations. And we're leading in that space as well with a share on puppies that's higher than our overall share. So we like the leading indicators that we see here in terms of where we are, in terms of helping to lead the expansion of that space.

Erin Wright: And it's a pretty brand-loyal category; right? Do you have any metrics around that, in terms of retention across the category typically?

Wetteny Joseph: A couple things that I would say, yes, it is brand-loyal. You don't see switching, particularly if you don't see differentiation at the varying levels of significance coming in from any competitor, which we don't today. So you have first-to-market, very high level of satisfaction, very little to no differentiation coming in. So you tend to see that drive growth and consistency.

One thing we do see also, as Kristin mentioned earlier, about 40% or Trio is sold outside of the clinic. And in those alternative markets where you see auto-ship, then that's even stickier, I would say relatively speaking. And that tends to drive even more compliance. So whereas you see about five or six months of compliance in parasiticides in the US, on auto-ship it goes all the way to 11 months of usage. So that is another element that drives even more stickiness here, and continuing again, you don't see switching in this space.

Erin Wright: Okay. And then what about what's next in parasiticides? Can you talk a little bit about injectable products, long-acting, long-acting injectable products, and how that kind of fits into your strategy as well?

Wetteny Joseph: Yes. That is the next, I would say, the evolution in terms of what's going to happen from an innovation perspective. We already have a long-acting

heartworm product. We have 6-month and 12-month heartworm product in this, so we know how that sort of mechanism works. And just like other players in the space, we'll be continuing to drive that. We have not given any time frame around what that might look like, but certainly there's more opportunity to continue to drive innovation in this space.

Erin Wright: I think you did mention, though, that new canine parasiticides will be in the next two years, but not necessarily injectable? Is that the case? And then within five years you should have long-acting parasiticides? Is that still roughly the timeline?

Wetteny Joseph: We have not given a timeline on long-acting parasiticides.

Erin Wright: Okay. Okay, got it. And then do you think you'll be first-to-market in a long-acting combination in the US market for parasiticides?

Kristen Peck: I think the focus for us, we are -- again, we already have long-acting in parasiticides today with regards to ProHeart. So I think it's triple-combination, long-acting, I think is the one that most people are talking about getting, that we haven't given guidance on. And it's hard to say we'll be first for something we haven't given guidance on.

I think the reason we say that is, we already have injectables. There's a competitor that has an injectable. But when you're competing against a really simple chewable triple combination oral, until you have the -- it's all your solution, it's a long-acting injectable for a triple combination -- we really think that's what's going to be where the focus is. So although we already have long-acting today in one, we think the future is really going to be around the triple combination.

Erin Wright: Okay. And let's go to atopic dermatitis or your derm category. You anticipated competition coming. Obviously some of that's played out, some of it's not. Relative to your expectations, can you talk about a new entrant coming in? How you're anticipating to navigate that, what's your approach to the market, what's your go-to-market strategy, and what you have embedded in terms of competition in your guidance?

Wetteny Joseph: Yes, so look. If you look at derm, stimulus in para is what we see significant room to expand. We see massive room to expand in dermatology, even as we've been in this market now for 12 years. You've seen us really expand that market, last year double-digit growth, including double-digit volume growth by the way, in derm plus last year. So we are finding ways to continue to expand that market. We think there's a lot more to go, 11 million more to go in the US, roughly. And even more so outside the US.

We have three products here that are very much differentiated positively. You look at a film-coated tablet, a chewable which we don't expect the competition that's launching to be in a chewable, and an injectable, Cytopoint product. So where we stand right now given the level of satisfaction, 11, 12 years of safety and very high levels of satisfaction, we believe we are well positioned to continue to lead in the growth and the expansion of the market globally even after competitors come in.

In terms of our expectations, I mentioned earlier, we did factor various scenarios in the range of growth that we have for the year because we do expect some level of promotional activity initially that we want to be very disciplined about how we react to those. And so that's factored into our guidance. And this year, where we expect to see, we're seeing an approval and expect launch in the fourth quarter of our international business as well as potentially in the US where we haven't seen approval yet here, so those are factors that we baked into our guidance for 2025.

Erin Wright: And can you talk about your relationship with distributors there? Can you get in front of some of the competitive dynamics that are at play? Can you better leverage the two whole versions, switch people to Cytoint, or leverage those distribution relationships where you can in terms of like, minimum revenue volume commitments on that front?

Wetteny Joseph: Certainly, we have a number of levers here that we are executing already, or will be executing in terms of our strategy. I think if you look at chew, this is a preferred product, by pet owners and by pets, because it's a chew that is flavored, and so on, and so that's going to continue to drive that conversion itself. We've seen conversion of chew in Europe in the almost 60% range, mid-to-upper 50s, and in the US already across 40% conversion. And so that's already on the way, but it's because it's meeting a need and it's a differentiation that pet owners certainly appreciate. So that's just one lever among others that we'll continue to execute on as we look ahead.

Erin Wright: And what about Cytoint long-acting? What's the latest in terms of timeline on that front?

Kristen Peck: We haven't updated that yet. We'll get updating all those in the next few months.

Erin Wright: Okay. Renal, oncology? What's next in the pipeline? What are you most excited about? What, I think CKD is the one that's -- your term of the two, probably can you give us an update there? I think you previously, it was a multi-billion-dollar kind of opportunity for you. But can you talk about the strategy, what you're focused on, and then which one you're more excited about in terms of CKD versus oncology?

Kristen Peck: Sure. I mean, what we're really excited about in the pipeline overall, I just want to take a step back, is that we are expecting a major approval every year for the next few years. As we think about some of the new therapeutic areas beyond the sort of long-acting for osteoarthritis pain, and for dermatitis, chronic kidney disease in renal is the single largest opportunity in animal health. It's a \$3 billion to \$4 billion market. Based on what we know today it could be even larger. And it's a category where there's really no treatment for dogs or for cats. So we're super excited to be able to provide a therapeutic for this.

It's a significant category for a number of reasons. A, the percentage of dogs and cats who will get it, they also tend to get it much earlier in life, honestly. And if you start treating it, the outcomes for these pets are significant. And it's also one where it's easy to diagnose with diagnostics out today, and we're even looking at even better diagnostics for the future. So this is already something that most vets are already screening for today. So it's a significant opportunity

that we're really excited about, and you know, as we'll talk about it and we'll update all our pipeline information that we gave and confirmed at JPMorgan last year, so if you want to go back and sort of see the timing in those, you can go back to our JPMorgan deck from last year. But really, super excited about that pipeline in renal and chronic kidney disease.

We're also really excited in a similar time frame for oncology. Oncology is probably give or take a \$1.7 billion opportunity. But we know now it could be larger. We're looking for products that can be applicable across a number of different cancer targets, obviously, here. It's a significant opportunity. Also, as diagnostics are increasing, and the more diagnostics increase, the more the size of that market will grow. Many pets are not really tested now, because even if they were tested, there's really very few treatments out there for oncology. Most of those are sort of off-label human health. So we see this as a significant opportunity where so many pet owners are desperate enough, they'll be trying human health, things like that. So we really think that's a big opportunity.

And slightly farther out, we're also really excited about cardiology. You know, I think as pets live longer lives, you're seeing a lot more of these cardiovascular events. You're also seeing certain breeds that are very popular right now, tend to suffer from more cardiovascular events. And again, another category where there's really only one product out there today to treat this. So we see these as big, new opportunities. Big, new waves of growth where Zoetis has demonstrated its ability over time to build some of these markets. So we're super excited for what this could look like.

We're also really excited on the livestock side, at opportunities in both genetics and in vaccines, where again, that's really going to be a focus. Most consumers want to eat protein, that you know, hasn't been treated. So you want to just keep animals healthier. So we look across our entire portfolio and whether it's life cycle innovation, adding a liver base to making something long-acting, or really creating entirely new categories, I think this is a sign that Zoetis has continued to do really, really well.

And differentiates Zoetis in animal health, but also animal health versus human health, which, you know, has a much higher ROI in its R&D. You know, for starters, because it costs us less to run our trials. But importantly, because we start in our target species.

Erin Wright:

Yes, and in oncology there were definitely prior iterations of T-cell, T-cell lymphoma in monoclonal antibodies. I would think that there's opportunities there, especially with the expanding diagnostics alongside that, whether it's your diagnostics or other diagnostics as well, canine lymphoma being a big area. I mean, is that a key area of focus for you? And then also just on the diagnostic fronts and so on, that is that also an innovation driver for you going forward?

Kristen Peck:

Yes. We're super excited about the success of our innovation in diagnostics. We talked about before, certainly our Imagyst platform we've been talking about for a few years, it's our AI diagnostics there, where we've got over six indications. So it's a platform that we can put anything you can basically take a picture of, whether that is blood or urine or fecal, you name it. Anything you can take a

picture of, we can therefore analyze. So we're really excited at the growth of that.

But really the Opticell, which is our hematology one, and looking at future innovations, obviously, for a new platform around chemistry. So very excited about diagnostics, and really how that is synergistic and symbiotic with our core business, to your point, how we can launch more there. But I'd also add to that, genetics. If you think about base pause and the companion animal side as well as our livestock genetics being big growth drivers, because I think you know, what's unique about Zoetis is because we're in all these different businesses, both the genetics, the diagnostics and the therapeutics, we can better understand disease and make sure that we can help both pet owners and vets better diagnose and put the animal on the right treatment.

Erin Wright: Okay, great. And your business mix has evolved dramatically even since the IPO with greater proportion of your total revenue associated with higher-margin, faster-growing companion animal products. Can you talk a little bit about that margin flow-through, how you see that playing out? Your long-term margin targets, and what you're anticipating kind of heading into 2026? What can ultimately kind of drop through? I think we've all, you know, wanted to see maybe a little bit more of that drop through, but at the same time you're investing, and you're investing in growth, right? And growth opportunities. So how do you balance that and how do you think about margin expansion longer-term?

Wetteny Joseph: Sure. You alluded to the next shift in the business, which was seen over the last decade. We'll see more of that as we look ahead. Even as livestock has momentum and we'll continue to see growth in livestock, companion animal will grow faster than livestock which drives the mixture that you're alluding to. In addition to that, that is the price in the business, even as we are making investments that we have in the past, we see significant opportunity to leverage the P&L, including SG&A, etc., as we look ahead.

I think the one thing that has created some noise if you look backwards is just FX, clearly. When you're looking at what that does, both at gross margin and bottom line operating margin, but when you look at our reporting on a constant currency basis it's very clear the leverage opportunity that we've seen, and we've actually delivered in the business over the years. And we see more room to continue to drive bottom-line growth faster than top-line growth.

Erin Wright: And any update on like, tariff exposure?

Wetteny Joseph: We did update last quarter. We added another \$7 million or \$8 million to what we said in the first quarter and we still absorb those in the guidance that we gave. There's nothing new really to highlight there versus what we said a month ago.

Kristen Peck: Yeah. I mean, we still don't have clarity on most of those.

Erin Wright: Yes, unfortunately we're all in the dark, there.

Thank you so much. Appreciate the time. Great conversation, and thanks everyone for listening in.

